



**MASENO UNIVERSITY**  
**UNIVERSITY EXAMINATIONS 2019/2020**

**FIRST YEAR SECOND SEMESTER EXAMINATIONS FOR THE  
DEGREE OF BACHELOR OF SCIENCE IN AGRIBUSINESS  
MANAGEMENT AND BACHELOR OF AGRICULTURAL  
ECONOMICS WITH INFORMATION TECHNOLOGY**

**MAIN CAMPUS**

**AAB 103: AGRICULTURAL POLICY**

Date: 15<sup>th</sup> January, 2021

Time: 3.30 - 6.30pm

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**INSTRUCTIONS:**

- Answer ALL Questions in Section A and any other TWO in Section B.
- Each question to appear on a new page
- Adequately answer the questions with keen attention to the marks allocated.

## SECTION A

### Question 1

[20 marks]

- a) Give reasons why is it important to analyze government policies? (4 marks)
- b) Explain the process of policy formulation, highlighting the four components of a policy framework. (8 marks)
- c) Policy makers might aim at “non-efficiency” objectives even when they result in high opportunity costs for the economy. State and explain the reasons that would justify the pursuance of such objectives. (8 marks)

### Question 2

[10 marks]

- a) What is land tenure? (2 marks)
- b) Explain how land is classified in Kenya (6 marks)
- c) What is the difference between freehold tenure and leasehold tenure? (2 marks)

## SECTION B

### Question 3

[20 marks]

- a) The policy analysis matrix (PAM) is a framework that relies on two accounting identities. Which ones are they? Explain how are the two identities are usually utilized in filling the elements of the PAM? (5 marks)

b) Differentiate between private profits and social profits as used in policy analysis.

(6 marks)

c) The PAM approach provides information on three principle issues of relevance in agricultural policy. Explain

(9 marks)

**Question 4**

**[20 marks]**

a) Apart from price and trade policy instruments, briefly explain any other six instruments that can be used to drive agricultural policy goals in a country like Kenya.

(12 marks)

b) Input subsidy is an important policy instrument for a less-developed country like Kenya. However economists have critiqued the use of input subsidies on various grounds. Discuss based on real issues in Kenya

(8 marks)

**Question 5**

**[20 marks]**

Mention five policy-related factors hindering smallholder farmers' access to agricultural financial services?

(5 marks)

Kenya is currently implementing the Agricultural Sector Development Strategy (ASDS 2010-2020) as the vehicle through which the Agriculture sector is expected to boost economic growth under the Vision 2030. Prior to that, the previous regime has successfully developed agriculture through the Strategy for Revitalizing Agriculture (SRA 2004-2007). Discuss:

a) In your view, the extent to which the country has realized ASDS targets given that we are at the end of the strategy period.

(8 marks)

b) Some of the reasons why the successes earlier realized in the Agricultural sector (under the SRA 2004-2007) have not been observed in the ASDS (2010-2020) period.

(7 marks)